recorded in 2018–19 and the smallest, $1.07 billion, in 1993–94. India's trade deficit in 2019–20 was $160.86 billion.

Import of crude oil and oil products is the most significant reason for the persistent trade deficit. During the forty-year period from 1981–82 to 2019–20, the country had a deficit on the oil account (excess of oil imports over oil exports) of $1.25 trillion. Our aggregate non-oil trade account deficit during the same period was only $850 billion. The oil deficit of $1.25 trillion made up nearly 60 per cent of the total trade account deficit during this entire period of $2.09 trillion of aggregate deficit.

India is Faring Better in Services

Over the same period of 2013–14 to 2019–20, India fared better in terms of services. The export of services rose from $151.8 billion in 2013–14 to $213.2 billion in 2019–20, increasing by $61.4 billion. In 2013–14, India's export of services was 48.3 per cent of goods exports; in 2019–20, it had improved significantly to 68 per cent. While total exports of goods in absolute terms declined marginally by $1.3 billion (from $314.46 billion in 2013–14 to $313.14 billion in 2019–20), the export of services increased by $61.4 billion.

The export of services making up as much as 40.5 per cent of total export of goods and services of $526.34 billion in 2019–20 is a significant transformation that is yet to be fully recognized.

The import of services has also been rising at a fast clip—from $78.7 billion in 2013–14, it rose to $128.3 billion in 2019–20, recording an increase of $49.5 billion or 62.9 per cent, slightly higher than the increase of 61.4 per cent recorded in case of export of services.

In 2013–14, India had a surplus on account of services of $73.1 billion. This increased by $11.9 billion to $84.9 billion in 2019–20.